ability to pursue its low-intensity conflict strategy against India. As Gurmeet Kanwal argues, Pakistan is “unable to fight simultaneously on three fronts—a proxy war against India, the Al-Qaeda-Taliban combine in its North West Frontier Province and vicious internal instability.”[28] As a result, the Pakistanis have been forced to scale back their involvement in militant operations against Indian Kashmir. Pakistan’s reduced support for anti-Indian militancy, then, is not primarily the product of nuclear deterrence. Rather, this policy shift resulted largely from changes in Pakistan’s regional strategic environment and domestic security situation in the aftermath of September 11, 2001.[29]

The Indians, for their part, have pursued improved relations with Pakistan for two principal reasons, neither of which stems from nuclear deterrence. The first reason is economic. In the early 1990s, Indian leaders made a decision to radically alter the country’s economic growth strategy. Previously, India had adhered to a socialist development model, emphasizing industrial regulation, import substitution, and central planning.[30] Prime Minister Narasimha Rao and Finance Minister Manmohan Singh rejected this approach. They largely abandoned India’s commitment to “import-substituting industrialization” and its associated regulatory regime, moving instead to more market-oriented economic policies. Key aspects of their new strategy included structural adjustment, the reduction of tariffs and agricultural subsidies, the loosening of industrial regulations, and the trimming of India’s enormous public sector.[31]

The immediate impetus for these changes was a critical foreign exchange shortage that rocked India in the wake of the First Gulf War.[32] However, Indian leaders realized that this crisis resulted from causes far more fundamental than the Gulf conflict. Deep, structural weaknesses in the Indian economy were to blame. Major changes would be necessary if India was not simply to deal with its immediate problems but also to achieve longer-term goals of reducing poverty, shedding its third world status, and joining the first rank of nations.[33] Rao and Singh thus used the Gulf War crisis to make far-reaching changes to India’s economic strategy.

Since the implementation of the reforms, India’s economic performance has been impressive. Its gross domestic product is now